

TANDY PRODUCTS ANNOUNCEMENT, AUGUST 3, 1987

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THE INTRODUCTION OF THE FIRST MICROCOMPUTER BY RADIO SHACK ON AUGUST 3, 1977, REPRESENTED A NUMBER OF MILESTONES. IT WAS THE FIRST PRODUCT RADIO SHACK EVER SOLD OVER \$500. IT WAS THE FIRST FULLY ASSEMBLED MICROCOMPUTER SYSTEM TO BE OFFERED THROUGH RETAIL OUTLETS NATIONWIDE. IT WAS THE FIRST PRODUCT RADIO SHACK EVER INTRODUCED THAT IT HAD TO "BARNSTORM" TO DEVELOP A MARKET. IT WAS THE FIRST PRODUCT WE HAD EVER FORMALLY INTRODUCED - AND FEW CARED. TRADE PUBLICATIONS IN ELECTRONICS AND AUDIO CAME - COMPUTER PUBLICATIONS ESSENTIALLY DIDN'T EXIST. TECHNOLOGY ANALYSTS WERE ONLY INTERESTED IN MINI'S AND MAINFRAMES - THEY WOULD NOT HAVE THOUGHT OF ATTENDING. RETAIL ANALYSTS CAME OUT OF CURIOSITY - OR WAS IT FOR A FREE LUNCH - WHO KNOWS. THE GENERAL MEDIA - NO INTEREST THERE - AFTER ALL, THERE WAS A BOMBING IN LOWER MANHATTAN THAT DAY. TODAY IS DIFFERENT AND WE WELCOME YOU

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TO SEE AND HEAR ABOUT THE LATEST PRODUCTS OF TANDY TECHNOLOGY.

THERE WERE OTHER DIFFERENCES ALSO - THAT WAS THE YEAR A YOUNG BILL GATES SOLD US THE RIGHT TO USE MICROSOFT BASIC ON A ONE AND ONE-HALF PAGE LETTER CONTRACT. TODAY HIS CONTRACTS RESEMBLE A TELEPHONE BOOK. IT WAS ALSO A DAY WHEN BILL WAS LOOKING FOR LEGAL HELP FROM HOME - TODAY HE CAN NOW AFFORD IT - FOR ALL OF US.

THAT WAS ALSO THE YEAR COMMODORE WAS TALKING ABOUT 10,000 MICROS PER MONTH - THEY FINALLY SHIPPED SOME. IT WAS ALSO A YEAR WE WERE ALL CONCERNED ABOUT THE IMMINENT ENTRY OF TEXAS INSTRUMENTS - IT DIDN'T COME FOR A WHILE AND POSSIBLY NEVER SHOULD HAVE.

MOVING FORWARD IN TIME TO 1981, IBM ANNOUNCED ITS 8088 BASED 16-BIT PC AND MS-DOS. AS SOFTWARE DEVELOPED, IT BECAME VERY CREDIBLE - PARTICULARLY IN BUSINESS AND SET A NUMBER OF STANDARDS

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FOR THE 16-BIT WORLD. TODAY, THERE'S A GREAT DEBATE IN OUR INDUSTRY REGARDING STANDARDS. WE BELIEVE THE INTRODUCTION OF THE TANDY 1000 IN NOVEMBER, 1984, HOLDS THE ANSWER TO THE DEBATE. THE TANDY 1000, WHILE ADHERING TO CERTAIN INTERFACE STANDARDS WAS NOT A "CLONE," BUT A MORE ADVANCED DESIGN WITH ADDED FEATURES, PERFORMANCE AND A SMALLER FOOTPRINT. ITS MS-DOS SOFTWARE COMPATIBILITY, HOWEVER, WAS EXCELLENT. THEREFORE, SOFTWARE COMPATIBILITY FOR THE TANDY 1000 WAS MORE SIGNIFICANT THAN HARDWARE COMPATIBILITY. AS WE GO FORWARD WITH THE WINDOWS OPERATING ENVIRONMENTS AND THE MICROSOFT OPERATING SYSTEM/2 FUTURE AVAILABILITY, APPLICATION SOFTWARE, OF NECESSITY, IS ESSENTIALLY HARDWARE INDEPENDENT. LET'S FACE IT: THE APPLICATIONS SOFTWARE DOESN'T KNOW IF IT'S TALKING TO THE AT-BUS, THE MICRO CHANNEL BUS, OR A CITY BUS. IT IS OUR BELIEF THAT THE REAL COMPATIBILITY ISSUE TODAY IS SOFTWARE COMPATIBILITY. ONCE YOU ACCEPT THIS

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PREMISE, THEN GREAT INNOVATION IN HARDWARE IS POSSIBLE, WHICH YOU'LL SEE SOME OF TODAY.

INNOVATION IN USER-FRIENDLINESS IS A HIGH PRIORITY NEED OF THE INDUSTRY. USERS STILL NEED TO KNOW MORE THAN SHOULD BE NECESSARY TO UTILIZE A COMPUTER. MUCH WORK HAS BEEN DONE TO IMPROVE HIGH-END SOPHISTICATION, BUT WE ARE IMPROVING LOW-END SOPHISTICATION AS WELL. OUR PERSONAL DESKMATE 2, TO BE INTRODUCED TODAY, FURTHER SIMPLIFIES THE USE OF THE COMPUTER WITH A MINIMUM INVESTMENT IN LEARNING. WE'VE ALSO INCORPORATED ROM'S AND EEPROM'S TO ENHANCE USER-FRIENDLINESS.

THE GENERAL PERFORMANCE OF COMPUTERS IS ALSO ENHANCED BY SPEED WHICH FUTURE GENERATIONS OF SOFTWARE NEED. TANDY HAS MADE SPEED MORE AFFORDABLE ACROSS THE LINE. WE'VE ALSO UTILIZED HIGH LEVELS OF INTEGRATION TO REDUCE COST AND IMPROVE RELIABILITY. INNOVATION IN HARDWARE DESIGN IS PERMITTED BY SOFTWARE TRENDS AND

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WE ARE DOING IT.

ANOTHER AREA WHERE INNOVATION IS NEEDED IS NETWORKING AND OUR SOFTWARE ENGINEERS HAVE DEVELOPED PROFESSIONAL DESKMATE AS A FRIENDLIER APPROACH TO WORK GROUPS. FROM RS-232 INTERCONNECTION TO SHIELDED TWISTED PAIRS TO THE 3COM NETWORK, THE END USER MAY UTILIZE THE SAME FRIENDLY INTERFACE TO EXCHANGE MESSAGES, DATA AND SHARE DEVICES. IT'S NOT ONLY EASY TO USE, IT'S EASY TO AFFORD MAKING THE UTILIZATION OF EXISTING PLUS NEW PERSONAL COMPUTERS MORE PRACTICAL.

TANDY'S TECHNOLOGY BASE CONTINUES TO GROW WITH OUR 10 YEARS IN THE INDUSTRY. OUR DESIGN ENGINEERING TEAM IS MADE UP OF A NUMBER OF THE MOST EXPERIENCED ENGINEERS IN THE INDUSTRY. THROUGH UTILIZATION OF THE MOST SOPHISTICATED DESIGN TOOLS AND WORKING CLOSELY WITH OUR MANUFACTURING ENGINEERS, THEY'VE REDUCED COMPONENT REQUIREMENTS, REDUCED DIRECT LABOR AND

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CONTINUALLY ENHANCED QUALITY. NOT ONLY DO THEY HAVE A FUNDAMENTAL UNDERSTANDING OF COMPATIBILITY, THEY HAVE ADDED VALUE IN HARDWARE PERFORMANCE AND IN IMPROVING THE USER INTERFACE. WE ARE ONE OF THE FEW HARDWARE MANUFACTURERS SPENDING SIGNIFICANT SOFTWARE DEVELOPMENT DOLLARS IN PROVIDING A BETTER SOFTWARE ENVIRONMENT FOR THE END USER.

OUR TECHNOLOGY BASE PERMITS TANDY TO PROVIDE PROBABLY THE MOST RELIABLE COMPUTERS IN THE INDUSTRY. OUR ADVERTISING MENTIONS 33,000 HOURS MEAN TIME BETWEEN FAILURE FOR OUR TANDY 1000 LINE. OUR TANDY 3000 LINE IS ALMOST TWICE AS GREAT WITH OVER 58,000 HOURS MEAN TIME BETWEEN FAILURE. POSSIBLY MORE IMPRESSIVE IS THE FACT WE RECENTLY DELIVERED 216 MACHINES TO A LARGE ACCOUNT WITHOUT A SINGLE MACHINE BEING DEAD-ON-ARRIVAL, SUPPORTING OUR MANUFACTURING TECHNOLOGY GROUP'S STATISTICS THAT WE HAVE LESS THAN ONE PERCENT DOA. TANDY MANUFACTURES AND SELLS TO THE HIGHEST QUALITY

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STANDARDS IN THE INDUSTRY.

NOW LET'S LOOK AT OUR LINE-UP FOR OUR 1988 PRODUCT YEAR - A LINE-UP THAT EMPHASIZES SPEED AND EASE OF USE.

THE FIRST MEMBER CONTINUES TO BE OUR TANDY 1000 EX. A ONE PIECE, SINGLE 5 1/4" DRIVE COMPUTER THAT OPERATES AT 7 MHZ. THIS COMPUTER COMES WITH PERSONAL DESKMATE BUNDLED, AND YOU MAY ADD AN EXTERNAL 3 1/2" DRIVE UNIT TO ENABLE USE OF THE DISKETTES OF YOUR CHOICE. FOR THE LOW-END OF THE MARKET, IT REMAINS THE LOWEST COST MS-DOS OPTION.

THE FIRST MOVE IS A ONE PIECE MACHINE BEING ADDED TO THE LINE WITH A 3 1/2" DISK DRIVE INCLUDED PLUS THE CAPABILITY TO EXPAND TO A SECOND 3 1/2" DRIVE BUILT-IN. THE MACHINE ALSO HAS TWO FEATURES THAT REALLY SET IT APART FROM ALL OTHER MS-DOS COMPUTERS IN ITS CLASS. FIRST, A "POWER AND RUN" FEATURE THAT LETS YOU SPECIFY WHICH SOFTWARE WILL BE AUTOMATICALLY BOOTED INTO YOUR SYSTEM

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BY STORING THE NECESSARY COMMANDS IN EEPROM. SECOND, AN "INSTANT ON" FEATURE MADE POSSIBLE BY A 128K-BYTE ROM WITH MS-DOS LOADED AT ELECTRONIC SPEED AS WELL AS THE CORE OF PERSONAL DESKMATE 2. EASE OF USE HAS BEEN FURTHER ENHANCED BY MAKING DESKMATE FAR EASIER TO USE FROM THE KEYBOARD WHEN KEYBOARD OPERATION IS PREFERRED OVER MOUSE OPERATION. PERSONAL DESKMATE 2 HAS A NEW MUSIC PROGRAM, ENHANCED FILER PROGRAM, AND AN ENHANCED PAINT PROGRAM TO GIVE THIS INTEGRATED SET OF APPLICATIONS ADDITIONAL USER FRIENDLINESS. THIS NEW COMBINATION OF HIGH-TECH HARDWARE AND A CONTEMPORARY USER INTERFACE MAKES PERSONAL COMPUTING EASIER AND SETS A NEW STANDARD FOR THE HOME, BUSINESS AT HOME AND EDUCATION USERS OF MS-DOS.

MOVING UP THE LINE, OUR MOST POPULAR COMPUTER OVER THE LAST YEAR HAS BEEN THE TANDY 1000 SX. THE SX FEATURES BUILT-IN 5 1/4" DRIVES, BUT YOU MAY EXPAND IT WITH INTERNAL 3 1/2" DRIVES AND WITH

INTERNAL HARD DRIVES. ITS EXPANDIBILITY, SPEED, AND ARCHITECTURE MADE IT AN INSTANT SUCCESS STORY, AND IT WILL CONTINUE IN THIS YEAR'S LINE FOR THOSE WHO PREFER ITS FEATURES.

OUR NEXT MAJOR MOVE IS A NEW MEMBER OF THE TANDY 1000 FAMILY THAT HAS AS ITS PRIMARY FEATURE: SPEED. THIS COMPUTER REPLACES THE TRADITIONAL 8088 MICROPROCESSOR WITH AN 8 MHZ 286 MICROPROCESSOR THAT PERMITS OVER THREE TIMES THE COMPUTATIONAL SPEED OF THE TANDY 1000 SX AND SIX TIMES THE SPEED OF THE ORIGINAL PC. IT'S FAST, IT'S COMPACT, AND IT'S PRICED WELL BELOW THE MUCH SLOWER LOW-END OF BIG BLUE'S NEW LINE-UP. ITS COMPATIBILITY WITH EXISTING CARDS AND SOFTWARE PLUS THE ADDITION OF PERSONAL DESKMATE 2 MAKE IT AN OUTSTANDING VALUE. FOR BUSINESS, EDUCATION OR HOME THIS MACHINE INTRODUCES A NEW LEVEL OF PERFORMANCE.

FOR OUR EXISTING OWNERS OF TANDY 1000s, I'M HAPPY TO ADD THAT YOUR 8088 PROCESSOR MAY BE REPLACED WITH A 286 PROCESSOR

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BOARD TO MAKE IT PERFORM FASTER AS WELL. WE THINK THIS WILL BE VERY POPULAR WITH HUNDREDS OF THOUSANDS OF CURRENT OWNERS AND STRONGLY IN KEEPING WITH TANDY'S GOAL OF OFFERING VALUE.

ONE OF THE MOST INCREDIBLE COMPUTING VALUES WE'VE EVER OFFERED CONTINUES AS A PART OF THE LINE AND THAT'S THE TANDY 3000 HL. THIS XT/AT MACHINE THAT EXPANDS WITH FULL SIZE XT OR AT BUS CARDS LETS THE BUYER CONFIGURE IT WITH THE STORAGE AND GRAPHIC OPTIONS OF CHOICE. UNLIKE BIG BLUE'S NEW MACHINES, THE USER HAS TREMENDOUS FLEXIBILITY IN DISK OPTIONS SUCH AS 3 1/2" FLOPPIES, 20 MEG HARD CARDS, 40 MEG BUILT-IN DRIVES, REMOVABLE CARTRIDGES, ETC. NOT ONLY DOES THIS MACHINE RUN CURRENT MS-DOS PROGRAMS, WE HAVE DEMONSTRATED MICROSOFT OPERATING SYSTEM/2 ON IT. THIS IS OUR LOWEST PRICED MACHINE THAT MAINTAINS SOFTWARE COMPATIBILITY WITH TRADITIONAL 16-BIT MACHINES, AND YET, IS READY FOR THE NEW OPERATING SYSTEM OF THE FUTURE, MAKING IT AN INCREDIBLE VALUE.

THE TANDY 3000 HL UNIT ALSO HAS AS AN OPTION BUNDLED WITH

THE MS-DOS, IT'S THE NEW PROFESSIONAL DESKMATE. PROFESSIONAL DESKMATE WILL RUN ON ALL OUR MS-DOS COMPUTERS AND INCLUDES DESKLINK. DESKLINK ALLOWS SMALL WORK GROUPS TO SHARE A MULTI-USER CALENDAR, PHONE DIRECTORY, AND APPLICATIONS DIRECTORIES. IN ADDITION, IT PERMITS ELECTRONIC MAIL AND PRINTING ON REMOTE PRINTERS. DESKLINK PERMITS COMPUTERS TO COMMUNICATE VIA RS-232, OUR NEW TANDYLINK CARD, OR OTHER NETWORK PRODUCTS SUCH AS 3COM. CLEARLY, CONNECTIVITY AND UTILIZING COMPUTERS IN WORK GROUPS IS THE KEY TO THE FUTURE. WE BELIEVE IT MUST BE EASY AND AFFORDABLE. OUR DESKMATE INTERFACE PROVIDES A USER-FRIENDLY ENVIRONMENT FOR WORKING TOGETHER. WHEN YOU LOOK AT THE OFFICE, SMALL OR LARGE, IT'S NORMAL FOR PEOPLE TO WORK TOGETHER IN GROUPS - FROM THE BOSS AND ASSISTANT, A GROUP OF TWO - TO THE REMOTE OFFICE - TO THE LARGEST OFFICE. WE BELIEVE NETWORKING TERMINOLOGY CAN BE ABANDONED AND PEOPLE CAN SIMPLY COMMUNICATE.

PROFESSIONAL DESKMATE IS A GRAPHICAL USER INTERFACE TAILORED

TO THE OFFICE WITH BUSINESS GRAPHICS THAT INSERT INTO AN ENHANCED WORD PROCESSOR. THE CALENDAR FUNCTION AND THE FILER HAVE ALSO BEEN ADVANCED. PROFESSIONAL DESKMATE IS ALWAYS READILY AVAILABLE IN THE BACKGROUND SO YOUR OTHER APPLICATION SOFTWARE MAY BE PUT TO SLEEP AND EASILY RETURNED, TOO.

OUR NEXT "MOVE" IS INTO THE MS-DOS LAPTOP PORTABLE MARKET. AS THE LEADER IN LAPTOP PORTABLES, WITH OUR TANDY 102 AND TANDY 200, OUR NEW LAPTOP PORTABLE FEATURES AN EASY TO READ BACKLIT SUPER TWIST LCD SCREEN, TWO 3 1/2" DISK DRIVES AND FULL BATTERY OPERATION. OUR MS-DOS LAPTOP PORTABLE HAS BEEN FREQUENTLY REQUESTED BY OUR CUSTOMERS AND WE BELIEVE THE PRICE PERFORMANCE ON THIS MACHINES WILL BE READILY ACCEPTED. ITS MICROPROCESSOR IS AN 8088 TYPE. IT COMES WITH A CARRYING HANDLE FOR USE LITERALLY ANYWHERE.

ANOTHER "MOVE" IS OUR AT-COMPATIBLE, THE TANDY 3000. IN

KEEPING WITH OUR THRUST FOR PERFORMANCE, ITS CLOCKSPEED IS BEING INCREASED TO 12 MHZ. WHILE IT COMES WITH A 5 1/4" DISK DRIVE STANDARD, IT ALSO HAS A FULL RANGE OF DISK STORAGE OPTIONS AS WELL AS PLENTY OF CARD SLOTS FOR THE GRAPHICS OPTION OF YOUR CHOICE. WE CONTINUE TO BELIEVE THE USER SHOULD HAVE ALL THE OPTIONS. WE BELIEVE THE EXCEPTIONAL QUALITY RECORD OF THIS MACHINE SHOULD NOT BE ADVERSELY AFFECTED BY THIS INCREASE IN SPEED. OF COURSE, IT'S OS/2 READY AS WELL MAKING IT AN EXCELLENT PRICE PERFORMANCE VALUE.

WE JUST KEEP ON MOVING - NOW LET'S LOOK AT A BIG "MOVE." THIS MOVE GIVES THE USER A 386 ALTERNATIVE TO THE 286 BASED MACHINES OF OTHERS. OUR NEW TANDY 4000 BOASTS A 386 OPERATING AT 16 MHZ WITH A SINGLE 1.4MB - 3 1/2" DRIVE INCLUDED. IT FOLLOWS OUR PHILOSOPHY OF LETTING THE BUYER CONFIGURE THE NEEDED OPTIONS AS OPPOSED TO OFFERING FIXED CONFIGURATIONS. THE BUS STRUCTURE

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OF THIS MACHINE IS COMPATIBLE WITH CURRENT INDUSTRY XT AND AT STANDARDS, MAKING LITERALLY HUNDREDS OF OPTIONS AVAILABLE OFF THE SHELF. GRAPHIC OPTIONS, INCLUDING VGA, MAY BE SELECTED BY THE USER. AS FAR AS YOUR APPLICATION PROGRAM IS CONCERNED, WHETHER IT BE MS-DOS OR OS/2, LOW COST 386 PERFORMANCE IS NOW AVAILABLE. FOR ALL ITS ATTRIBUTES IN QUALITY AND PERFORMANCE, ITS MOST SIGNIFICANT ATTRIBUTE WILL BE ITS LOW PRICE. THE 386 IS NOW AN AFFORDABLE OPTION FOR ALL USERS.

NOW, LET'S MOVE FROM COMPUTERS TO PRINTERS BECAUSE WE HAVE A COUPLE TO TALK ABOUT TODAY. THE ONE I WANT TO MENTION IS OUR NEW FULL PAGE LASER PRINTER. EXCELLENT IMAGE QUALITY AND FULL PAGE HIGH RESOLUTION GRAPHICS CAN BE OBTAINED RAPIDLY WITH 1.5 MEG OF STANDARD MEMORY. USED WITH OUR NEW TANDY 4000 AND PAGEMAKER UNDER WINDOWS, IT BECOMES AN EXCELLENT DESKTOP PUBLISHING SYSTEM. AND NATURALLY, IT'S AFFORDABLE.

CHECKMATE - WE BELIEVE OUR COMPUTER CENTERS AND RETAIL

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STORES NOW HAVE THE MOST POWERFUL LINE-UP IN THE INDUSTRY, AND WE'LL BE PUTTING THE ADVERTISING CAMPAIGN BEHIND IT TO TELL THE MARKETPLACE. IN RECENT WEEKS YOU HAVE PROBABLY SEEN ADS ASKING:

WHY TANDY COMPUTERS?

...BECAUSE THERE IS NO BETTER VALUE.

WE BELIEVE WE ARE THE "BEST CHOICE" FOR MILLIONS OF BUSINESSES, EDUCATORS, AND HOMES. OUR VALUE GOES FAR BEYOND PRICE, WHICH IS EXCELLENT, TO:

QUALITY - THERE ARE NO BETTER DESIGNS.

COMPATIBILITY - A BROAD MS-DOS LINE, MANY OS/2 READY.

TECHNOLOGY - INNOVATION IN DESIGN AND PERFORMANCE

CONNECTIVITY - AS SIMPLE AS DIALING YOUR PHONE:

YOU'RE READY TO WORK TOGETHER

LONGEVITY - A 10TH ANNIVERSARY OF A 66 YEAR OLD

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COMPANY. WE'LL BE HERE.

THIS MESSAGE, ALONG WITH PRODUCT FEATURES, WILL BE PROMOTED IN A
CAMPAIGN THAT ENCOMPASSES:

8-PAGE INSERTS IN TIME AND BUSINESS WEEK

PLUS UTILIZED IN DIRECT MAIL AND TARGET MARKETS.

THE WALL STREET JOURNAL AND USA TODAY WILL BE USED

EXTENSIVELY

PLUS THREE TELEVISION COMMERCIALS IN A MULTI-MILLION

DOLLAR FLIGHT

A BROAD ASSORTMENT OF GENERAL INTERESTS AND TRADE

PUBLICATIONS WILL BE USED ALSO

A BOLD MOVE IN COMPUTERS SUPPORTED BY A BOLD MOVE IN
PROMOTIONS....

. . . BECAUSE THERE IS NO BETTER VALUE!